the bond, you are probably inclined to demand a selling price that exceeds your original purchase price. Many wealth managers have observed that investor decision making regarding both inherited and purchased securities can exhibit endowment bias and that "decision paralysis" often results: Many clients have trouble making decisions regarding the sale of securities that they either inherited or purchased themselves, and their predicament is attributable to endowment bias.

Implications for Investors

There are some practical explanations as to why investors are susceptible to endowment bias. Understanding the origins of endowment bias can help to provide intuition that guards against the mistakes that the bias can cause. First, investors may hold onto securities that they already own in order to *avoid the transaction costs* associated with unloading those securities. This is particularly true regarding bonds. Such a rationale can be hazardous to one's wealth, because failure to take action and sell off certain assets can sometimes invite otherwise avoidable losses, while forcing investors to forgo the purchase of potentially more profitable, alternative assets. Second, investors hold onto securities because of familiarity. If investors know from experience the characteristics of the instruments that they already own (the behavior of particular government bonds, for example), then they may feel reluctant to transition into instruments that seem relatively unknown. Familiarity, effectively, has value. This value adds to the actual market value of a security that an investor possesses, causing WTA to exceed WTP.

The list below contains a summary of investment mistakes that arise from endowment bias.

ENDOWMENT BIAS: BEHAVIORS THAT CAN CAUSE INVESTMENT MISTAKES

1. Endowment bias influences investors to hold onto securities that they have inherited, regardless of whether retaining those securities is financially wise. This behavior is often the result of the heirs' fear that selling will demonstrate disloyalty to prior generations or will trigger tax consequences.
2. Endowment bias causes investors to hold securities they have purchased (already own). This behavior is often the result of decision paralysis, which places an irrational premium on the